Event Horizon Fund — Step 2 Cross-Critique: Claude Critique of Codex

Step 2 of 4 (`PROMPT_2_CROSS_CRITIQUE.md`). **Author:** Claude (Opus 5.5). **Written:** November 9, 2026, after the close.

Inputs read:

- `Analysis 2026-11-08/inputs/Claude Deep Dive 2026-11-08.md` (mine, Rev 2)
- `Analysis 2026-11-08/inputs/Codex Deep Dive 2026-11-08.md` (Codex, Nov 9 research revision), read in full
- `PROMPT_1_DEEP_DIVE.md`, for the valuation framework and the two named-scenario definitions

Codex's Step 2 critique did not exist when this was written and was not read.

Market data. Both deep dives priced every stock at the **November 6, 2026 close**, and the prices match to the cent. So every gap in §2–§4 is analytical, not a timing artifact. My re-underwriting is shown at the Nov 6 close, so it compares directly with both reports. It is also shown at the **November 9 close**, which is used for the revised allocation in §6. Nov 9 closes come from Yahoo's chart endpoint, with the last bar confirmed at 21:00 UTC Nov 9. Several contested names moved 8–17% on Nov 9:

- COHR +16.8%
- NRG +10.3%, on Q3 results
- CEG +10.5%, on Q3 results
- VRT +9.6%
- AVGO +8.8%
- CLS +7.9%
- NVDA −4.3%

Method. Everything uses one script (`step2_model.py`). It reproduces Codex's published numbers exactly from Codex's §4.4 inputs: 22.8% portfolio CAGR, −56.6% all-bear, and every per-stock CAGR to within 0.1pp. It also reproduces mine exactly: 14.7% and −26.6%. That confirms I read Codex's inputs correctly before criticizing them.

Neither deep dive reported named-scenario returns, which postdate both reports, so I computed them for every stock on both sides using one rule:

- **AI-2027 Scenario:** each stock's bull-case 2030 earnings metric at its base exit multiple, plus bull-case dividends and cash. MU, a cyclical, uses its bull (peak) multiple.
- **100GW 2030 Scenario:** the same, with the bull metric scaled by a bottleneck-capture factor U from Situational Awareness's path:
  - U = 1.3 for foundry, EUV, HBM, power generation and electrical/thermal;
  - U = 1.2 for chips, optics and integrators;
  - U = 1.1 for EDA and rare earths;
  - U = 1.0 for defense and bio.

I put about **35%** on an AI-2027-like path through 2030, which resembles base-to-bull for compute-chain names. That's the most likely single path, but not a majority. I put about **10%** on the 100GW 2030 path, which resembles bull-plus: it needs roughly $8T a year of AI investment by 2030, against about $1T in 2026. Neither named scenario is folded into the probability-weighted Expected CAGR.

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1. Verdict

- **Codex picked better stocks than I did.** On one consistent valuation framework (§2, "re-underwritten"), Codex's 8-stock portfolio returns about **16.3%** a year at Nov 6 prices, against **14.0%** for my 16-stock V10. At Nov 9 prices the figures are 14.5% and 12.6%. Codex also leads on both named scenarios. Its edge comes from **NRG and NVT**, which I never underwrote, and from concentrating instead of holding a long tail of ~12%-return names.
- **The best Codex pick I missed is NRG.** It trades at about 6x 2027 free cash flow before growth, against about 9x for VST. Even on my more conservative inputs it ranks #2–3 by expected return. **NVT beats my ETN** on the same electrical bottleneck: 15.8% vs 11.6% re-underwritten, at 16x vs 22x 2027 EPS.
- **My own bear cases were too mild, and Codex was right to be harsher.** My TSM bear assumed 2030 EPS above the 2026 run rate. My MU, ASML and VRT bears never revisited pre-boom earnings. My 30% bull weights on TSM and ASML had no stock-specific support. Corrected, my V10 bust case is **about −42%, not −26.6%**. My report understated portfolio risk.
- **Codex's weakest point is its 22.8% headline.** It is inflated by terminal P/E multiples above both peer and company history, on exactly the stocks it selected:
  - NVDA 25x, against a mega-cap peer median of ~18x forward and NVDA's own 11.2x today;
  - AVGO 24x, COHR 24x and CLS 17x.

  Those stocks are top-ranked partly *because* their assumed re-rating is largest. That is a winner's-curse selection effect. Keeping Codex's earnings bases where they are better supported but using peer-anchored multiples cuts the 8-stock portfolio from **22.8% to about 16%**.
- **Codex's TSM and ASML bases contradict near-term evidence.**
  - TSM's base 2030 EPS of $26.8 implies 4.7% a year of growth after a CY27 consensus of $23.4.
  - ASML's $70B / 34%-margin base sits barely above its Q4-2026 guided run rate (€14.2–15.2B a quarter, about €59B annualized) and well below its Q3 operating margin of 44.4%.

  Codex's 0% upstream weight rests partly on these inputs.
- **Codex holds 0% memory against its own evidence.** Its workbook audit finds **HBM is the binding constraint in every year 2024–2030**. It cites Micron's 26 long-term agreements covering more than 35% of revenue through 2030, with price floors. MU ranks **#2 by Expected CAGR and #1 by AI-2027 Scenario CAGR** (31.5%) after my re-underwrite.

- **Codex misses the political and financing facts that bear directly on its picks:**
  - the Texas governor-elect's moratorium pledge on new data centers, plus the September TCEQ permit pause;
  - the Nov 3 local data-center votes;
  - ERCOT and PJM dynamics. NRG's Texas segment was 51% of its Q3 EBITDA, and Codex holds 23% Texas-heavy merchant power;
  - AVGO's XPV residual-value guarantee (about $29B maximum exposure on the first deal, with Anthropic as tenant) and the rate backdrop.
- **COHR has moved through its value.** After a +16.8% move on Nov 9, its expected CAGR falls to 9.1% on my inputs and 14.7% on Codex's. Both are below Codex's own 18% "model-implied return ceiling", so even Codex's rules say not to chase it.
- **Net change:** my allocation moves substantially toward Codex's. It goes from **16 names to 11**, and my overlap with Codex's portfolio rises from **42% to 78%**:
  - I add NRG, NVT and CLS;
  - I raise NVDA, VRT, AVGO and MU;
  - I cut TSM and ASML to small upstream positions;
  - I exit SNPS, CEG, COHR, ETN, CRDO, PWR, KTOS and MP.

  At Nov 9 prices this lifts expected CAGR from **12.6% to 14.7%**, AI-2027 Scenario CAGR from **22.3% to 25.2%** and 100GW 2030 Scenario CAGR from **28.9% to 32.3%**. The bust case worsens slightly, from −44.7% to −46.1%, on the same corrected bear inputs.

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2. Head-to-Head: Every Stock Where the Portfolios Differ

All 19 tickers in either portfolio differ by at least 1pp, so all are covered. "Re-underwritten" uses one framework for both sides:

- **Bear bucket:** a 50/50 mix of a bust (2030 earnings back to roughly 2025 levels) and my original mild bear.
- **Probabilities:** 25/50/25 unless there is stock-specific evidence for a fatter bear.
- **Exit multiples:** anchored to peer and own-history forward P/E medians.
- **Earnings bases:** whichever side's base is better supported. The source and reason are in the last two columns.

All CAGRs are in % per year. The re-underwritten figure is at Nov 6, with Nov 9 in brackets.

Ticker	Mine %	Codex %	Price + date	Expected CAGR (mine / Codex / re-underwritten)	AI-2027 Scenario CAGR (mine / Codex)	100GW 2030 Scenario CAGR (mine / Codex)	Input driving the gap	Better call	Why
NVDA	13	15	$186.64 (Nov 6); $178.67 (Nov 9)	16.7 / 24.5 / **17.9 [19.2]**	27.1 / 40.6	32.8 / 46.9	Base exit multiple 18x vs 25x. Codex's base EPS is *lower* ($16.6 vs $19)	**Codex on size; mine on multiple**	25x is above the mega-cap peer median (MSFT 22.5, GOOGL 19.0, META 18.0, TSM 16.6, AVGO 16.4 forward) and 2.2x NVDA's own 11.2x forward. My $19 base is better supported: the FY28 consensus is $15.92 and the AI-2040 capex path reaches $2.4T in 2028. Even at 18x, NVDA is the #1 stock in either portfolio, so the 15% cap should bind

Ticker	Mine %	Codex %	Price + date	Expected CAGR (mine / Codex / re-underwritten)	AI-2027 Scenario CAGR (mine / Codex)	100GW 2030 Scenario CAGR (mine / Codex)	Input driving the gap	Better call	Why
AVGO	6	15	$293.69; $319.48	14.5 / 21.4 / **16.0 [13.7]**	26.2 / 36.1	31.8 / 42.1	Multiple 20x vs 24x; bear probability 30% vs 25%; Codex's higher EPS path	**Split: Codex's EPS path, my multiple and bear**	I adopt Codex's base ($25.5) and bull ($43.3) EPS, which better match AVGO's FY28 AI-revenue target. I keep 20x (AVGO's 16.4x forward; own history in the high teens). I keep a 30% bear and a −$6/sh bear adjustment for the XPV residual-value guarantee (about $29B maximum exposure, Anthropic tenant). Codex never mentions it
VRT	9	15	$182.86; $200.47	17.6 / 23.7 / **16.9 [14.4]**	26.4 / 41.3	34.7 / 50.5	Bull revenue $48B vs about $33B implied; multiple 26x vs 23x	**Codex on size; mine on inputs**	The base EPS is the same on both sides ($15.5 vs $15.8). Codex's bull needs revenue to rise 3.3x from 2026's ~$14.7B, with 44% a year EPS growth from the 2027 consensus. I keep my 29% a year. VRT is still #4 by re-underwritten return

Ticker	Mine %	Codex %	Price + date	Expected CAGR (mine / Codex / re-underwritten)	AI-2027 Scenario CAGR (mine / Codex)	100GW 2030 Scenario CAGR (mine / Codex)	Input driving the gap	Better call	Why
VST	9	11	$124.80; $133.92	15.1 / 20.3 / **14.9 [13.0]**	23.9 / 35.1	31.9 / 44.8	Codex's bull EBITDA of $15B vs 2027 guidance of $7.7–8.5B; my 30% bear	**Mine**	Codex's bull nearly doubles 2027-guided EBITDA by 2030. My 30% bear reflects ERCOT and Texas politics: VST fell 14% on election day and the governor-elect pledged a moratorium. Codex does not discuss either
COHR	5	8	$192.81; **$225.19**	13.9 / 19.0 / **13.2 [9.1]**	24.9 / 37.4	30.6 / 43.5	Multiple 18x vs 24x (base EPS ~$19 vs $18.2, the same)	**Neither, at Nov 9 prices**	The optics peers LITE (13.5x FY28) and FN (18.8x) support 18x. After a +16.8% move on Nov 9, COHR returns 9.1% on my inputs and 14.7% on Codex's, below Codex's own 18% chase ceiling. Exit for now; re-enter below ~$190

Ticker	Mine %	Codex %	Price + date	Expected CAGR (mine / Codex / re-underwritten)	AI-2027 Scenario CAGR (mine / Codex)	100GW 2030 Scenario CAGR (mine / Codex)	Input driving the gap	Better call	Why
TSM	14	0	$375.44; $388.62	15.1 / 13.5 / **12.8 [11.9]**	20.4 / 24.3	28.2 / 32.3	Base EPS $33 vs $26.8; bear EPS $21 vs $8.45; bull probability 30% vs 25%	**Split: my base, Codex's harsher bear and 25% bull**	Codex's base implies 4.7% a year growth after the CY27 consensus of $23.4, which contradicts ~47% growth in 2026, the capacity build and the AI-2040 path for AI's share of EUV. My bear ($21, above 2026 EPS) was too mild, and my 30% bull had no support. The corrected TSM ranks #9
MU	9	0	$690.00; $733.15	15.6 / 13.0 / **16.7 [15.1]**	29.7 / 36.5	38.2 / 44.6	Base EPS $130 vs $80 (normalization); bear probability 25% vs 30%; Codex's excess-cash reserve	**Mine on the base; Codex on cash and bear depth**	The LTAs (>35% of revenue through 2030, with floors, as Codex cites) and Codex's own HBM-binding audit support a shallower normalization than Codex's. I adopt Codex's $40/150/250 excess-cash reserve and a deeper bust bear ($25 EPS). MU is #2 by Expected and #1 by AI-2027 Scenario CAGR

Ticker	Mine %	Codex %	Price + date	Expected CAGR (mine / Codex / re-underwritten)	AI-2027 Scenario CAGR (mine / Codex)	100GW 2030 Scenario CAGR (mine / Codex)	Input driving the gap	Better call	Why
ASML	8	0	$1,424.75; $1,513.25	14.6 / 8.6 / **12.6 [11.0]**	20.3 / 20.5	28.0 / 28.3	Base EPS $88 vs $63.5; bear; bull probability 30% vs 25%	**Split: my base, Codex's bear depth and 25% bull**	Q3 2026: gross margin 57.5%, operating margin 44.4%, net income about €4.5B ex-Mistral gain. Q4 guidance annualizes to about €59B. Codex's base ($70B, 34% net margin) is close to today's run rate, so my base holds. My bear ($50 EPS) and 30% bull were generous. The corrected ASML (11.0%) loses to the top eight; a small position is kept only as residual (§6)
SNPS	6	0	$450.46; $466.97	12.7 / 12.9 / **12.2 [11.2]**	18.9 / 25.2	21.7 / 28.1	Codex's harsher bear ($8.8 EPS); otherwise the same	**Codex**	Both models put SNPS at about 12.8%. It fails capital competition. Its lower bust loss (−35%) is not enough to justify 6% under the stated goal

Ticker	Mine %	Codex %	Price + date	Expected CAGR (mine / Codex / re-underwritten)	AI-2027 Scenario CAGR (mine / Codex)	100GW 2030 Scenario CAGR (mine / Codex)	Input driving the gap	Better call	Why
CEG	6	0	$249.95; **$276.09**	11.4 / 12.7 / **11.0 [8.4]**	17.4 / 25.7	25.0 / 33.7	Only small input gaps; the Nov 9 +10.5% move is decisive	**Codex**	Q3 beat and raise (2026 guidance $12.50–12.80), but at $276 the expected CAGR is 8.4%. NRG offers the same power exposure at about 6x FCF
ETN	5	0	$341.72; $359.30	11.9 / 14.8 / **11.6 [10.3]**	17.4 / 27.1	24.9 / 35.2	Similar inputs; NVT dominates	**Codex**	NVT beats ETN by 4pp on the same electrical-distribution bottleneck (§3, B2)
CRDO	3	0	$120.51; $132.89	18.0 / 10.8 / **11.9 [9.4]**	31.4 / 29.3	37.3 / 35.1	Adjusted EPS vs SBC-burdened owner EPS ($10.5 vs $6.4 base)	**Codex**	I capitalized adjusted EPS. Codex charges stock compensation, which is the right owner-economics basis for a high-SBC small cap. Converting my inputs (×0.81) drops CRDO to 11.9%, with a −70% bear
PWR	2	0	$540.90; $591.48	8.3 / 10.9 / **7.5 [5.2]**	13.9 / 22.8	21.3 / 30.8	Both low	**Codex**	Neither model clears 11%; after a +9% move it is 5.2%

Ticker	Mine %	Codex %	Price + date	Expected CAGR (mine / Codex / re-underwritten)	AI-2027 Scenario CAGR (mine / Codex)	100GW 2030 Scenario CAGR (mine / Codex)	Input driving the gap	Better call	Why
KTOS	2	0	$35.10; $37.69	11.9 / −0.3 / **2.6 [0.9]**	23.4 / 18.1	23.4 / 18.1	Adjusted vs owner EPS; FCF burn	**Codex**	FY26 FCF use of $110–120M despite growth (Nov 5). My adjusted-EPS basis overstated owner value. As a "hedge" it has a −78% bear
MP	2	0	$35.41; $37.75	7.2 / 8.5 / **7.2 [5.6]**	21.0 / 30.5	23.8 / 33.5	Similar	**Codex**	Both below 9%. It hedges a China rare-earth escalation, not an AI bust. China's suspension of its Oct-2025 notices lapses Nov 10, which is a binary event, not a reason to hold through it at 5.6% expected
BNTX	1	0	$87.51; $87.51	9.2 / n/a / **9.2 [9.2]**	7.9 / n/a	7.9 / n/a	Codex screened it but never underwrote it	**Mine (1%)**	Net cash is about 85% of market value (−26% bear). It is the only holding whose value *rises* in an AI bust in my model. At 1% it costs <0.1pp of expected return

Ticker	Mine %	Codex %	Price + date	Expected CAGR (mine / Codex / re-underwritten)	AI-2027 Scenario CAGR (mine / Codex)	100GW 2030 Scenario CAGR (mine / Codex)	Input driving the gap	Better call	Why
CLS	0	12	$206.68; $222.92	13.9 / 23.5 / **16.2 [14.2]**	23.1 / 44.0	28.6 / 50.4	Base EPS $27 vs $30.2; multiple 14x vs 17x; bull EPS $35 vs $55	**Split: Codex on base and inclusion, mine on multiple and size**	The 2027 guidance (revenue $40B, EPS $21.50) plus "meaningfully higher" 2028 demand supports Codex's ~$30 base. But 2026 FCF was cut to $460M (~33% of net income), 2027 capex is $1.5–2.0B and $3.45B of equity was raised in August. That supports an EMS-peer 14x and a 30% bear, not 17x. Add at 7%
NVT	0	12	$106.22; $114.44	n/a / 23.7 / **15.8 [13.8]**	n/a / 39.1	n/a / 48.0	Never underwritten by me; multiple 19x vs 22x; bull $18.75 vs $14 EPS	**Codex on inclusion**	2026 adjusted EPS guidance $5.36–5.39 (Oct 30); 2027 consensus $7.00 (16.4x). Q4 organic growth slows to 26–29%. Even at my 19x it beats ETN. Add at 11%

Ticker	Mine %	Codex %	Price + date	Expected CAGR (mine / Codex / re-underwritten)	AI-2027 Scenario CAGR (mine / Codex)	100GW 2030 Scenario CAGR (mine / Codex)	Input driving the gap	Better call	Why
NRG	0	12	$88.29; **$97.40**	n/a / 24.5 / **17.5 [14.8]**	n/a / 37.9	n/a / 48.0	Never underwritten by me; Codex's anchor was stale (Aug 4); its $7B 2030 EBITDA vs the new 2027 guidance of $5.75B	**Codex on inclusion; mine on inputs**	Nov 9: 2027 guidance of EBITDA ~$5.75B, FCF before growth $3.15B and EPS $9.05; a $4B asset sale; 2026 EBITDA slightly below midpoint (weak ERCOT prices). About 15.4% FCF yield at $97. I value it on FCF per share with buybacks (base $19 × 9x) and a 30% bear for Texas exposure. Add at 11%

Sleeve and shared-driver cluster comparison

Cluster (shared economic driver)	Claude V10 %	Codex 8 %	Claude revised % (§6)	Comment
C1 AI silicon and interconnect (NVDA, AVGO, MU, TSM, COHR, CRDO, CLS)	50	50	50	Same total; Codex's mix is higher-return per my re-underwrite, except it leaves out MU
C2 Fab tools and design (ASML, SNPS)	14	0	4	Codex is closer to right at current prices
C3 DC physical and electrical (VRT, NVT, ETN, PWR)	16	27	25	NVT and VRT are the best value in this cluster
C4 Power generation (VST, CEG, NRG)	15	23	20	The Texas/ERCOT driver is shared by NRG and VST, so I cap the cluster at 20
C5 Software	0	0	0	Both reports agree
C6 AI-independent hedges (KTOS, MP, BNTX)	5	0	1	Codex is mostly right: KTOS and MP were not hedges at their expected returns
Names / top-3 weight	**16 / 36%**	**8 / 45%**	**11 / 41%**	—

3. Their Picks vs Mine (Same Bottleneck)

Expected CAGRs here are re-underwritten at the **Nov 9** close. They are the basis for §6.

#	Bottleneck	My pick	Codex pick	Expected CAGR each	AI-2027 Scenario CAGR each	100GW 2030 Scenario CAGR each	Valuation status each	Better stock	Why
B1	Merchant power generation	CEG (6%)	NRG (12%)	CEG 8.4 / NRG 14.8	14.7 / 23.6	22.1 / 31.4	CEG Fair-to-Expensive after +10.5%; NRG Attractive	**NRG**	About 6x 2027 FCF before growth vs about 21x CEG 2027 EPS. CEG's nuclear premium is real but already priced in. NRG's Texas exposure is why I size it at 11, not 15
B2	Electrical distribution and protection	ETN (5%)	NVT (12%)	ETN 10.3 / NVT 13.8	16.0 / 23.0	23.4 / 31.0	ETN Fair; NVT Attractive	**NVT**	16.4x vs 21.8x 2027 EPS with faster organic growth (38–39% in 2026 vs ETN's high-teens data-center growth). ETN is the higher-quality fallback if Maverick integration fails
B3	Optical and scale-up interconnect	COHR (5%) + CRDO (3%)	COHR (8%)	COHR 9.1 / CRDO 9.4	20.4 / 22.1	25.8 / 27.6	Both Fair at Nov 9	**Neither at Nov 9 prices**	Codex was right that COHR beats CRDO after stock comp. But COHR's Nov 9 move takes it below both reports' hurdles. Optics exposure stays through NVDA and AVGO networking

#	Bottleneck	My pick	Codex pick	Expected CAGR each	AI-2027 Scenario CAGR each	100GW 2030 Scenario CAGR each	Valuation status each	Better stock	Why
B4	Rack and system integration	none (VRT only)	CLS (12%)	CLS 14.2	24.9	30.5	CLS Attractive (10x 2027 guidance)	**CLS, at a smaller size**	I wrongly excluded CLS on an "integrator" label and the C1 cap. Its guidance supports a ~$30 base. Cash conversion and dilution justify 7%, not 12%
B5	Upstream foundry, lithography and EDA	TSM 14 + ASML 8 + SNPS 6 = 28%	none (0%)	TSM 11.9 / ASML 11.0 / SNPS 11.2	19.5 / 18.6 / 17.9	27.2 / 26.2 / 20.7	Fair / Fair / Fair	**Codex is closer**	With corrected bears and 25% bulls, all three rank #9–11. I keep only TSM 5 and ASML 4 as residual capital after the caps bind (§6). They are the cheapest way to own the 100GW path's binding inputs (4x TSMC leading-edge capacity; the EUV wall). SNPS goes to 0
B6	HBM and memory	MU (9%)	none (0%)	MU 15.1	**31.5 (highest)**	39.3	Deep Discount (cyclical): 3.5x FY28 consensus	**MU**	Codex's own audit: HBM is the minimum (binding) input in every year 2024–2030. LTAs with price floors cover more than 35% of revenue through 2030. Codex's 0% contradicts its own evidence. Raise to 12

#	Bottleneck	My pick	Codex pick	Expected CAGR each	AI-2027 Scenario CAGR each	100GW 2030 Scenario CAGR each	Valuation status each	Better stock	Why
B7	AI-independent hedges	KTOS 2 + MP 2 + BNTX 1	none	KTOS 0.9 / MP 5.6 / BNTX 9.2	11.3 / 19.1 / 7.9	11.3 / 21.9 / 7.9	Speculative	**Mostly Codex**	KTOS and MP have high expected-loss tails and low expected returns. BNTX alone has a cash floor and a positive bust payoff, so keep 1%
B8	Grid construction and labor	PWR (2%)	none	PWR 5.2	11.5	18.7	Expensive after a +9% move	**Codex**	No version of PWR clears the hurdle
B9	Custom silicon	AVGO (6%)	AVGO (15%)	13.7	27.6	33.3	Attractive	**Raise toward Codex: 11%**	Codex's EPS path is better supported (FY28 AI target). XPV guarantees and the 30% bear keep it below the cap
B10	Accelerators	NVDA (13%)	NVDA (15%)	19.2	28.5	34.3	Attractive (11.2x forward)	**Codex: 15%**	The #1 stock on every method. My C1 cap, not valuation, kept it at 13

4. Candidates Only One of Us Found

4a. Names Codex underwrote that I never considered, with my verdict

For names I never modeled, the CAGRs are quick screens using my peer-anchored multiples on Codex's revenue paths at Nov 6 prices. They are indicative only.

Ticker	Codex CAGR	My quick-screen CAGR	Verdict	Reason
NRG	24.5	17.5 (14.8 at Nov 9)	**Add (11%)**	See B1. This is the most important name I missed
NVT	23.7	15.8 (13.8 at Nov 9)	**Add, replacing ETN (11%)**	See B2

Ticker	Codex CAGR	My quick-screen CAGR	Verdict	Reason
MOD (post-spin)	19.7	~19	**Watchlist**	Cheap (about 10x FY28 EPS). But the continuing-business perimeter is new, H1 FCF was negative and data-center gross margin fell. Revisit after the Nov 18 investor update with a clean post-spin cash bridge
META	18.6	~11	**Reject**	My 20x multiple vs Codex's 23x explains most of the gap. It is already about 2–3% of Continuity's FSKAX sleeve, and owning it adds no new bottleneck
MSFT	17.6	~10	**Reject**	22.5x forward already prices agent monetization. Continuity overlap
TLN	17.2	11.3 (my original model)	**Reject**	NRG gives the same power-rent exposure at a lower FCF multiple
LRCX	16.1	6.6 (my original model)	**Reject**	My 19x base multiple vs Codex's 25x explains the gap. I agree it is the best WFE alternative if WFE is reopened
RELX, VRSK, AXON, MSI, GEN	8–14	not modeled	**Reject**	These are not AI-infrastructure bottlenecks. Their returns don't clear the top-eight hurdle on either side's numbers
CRWV, NBIS, IREN, CORZ, APLD	−1.5 to 18	qualitative only	**Reject (agree)**	Both reports reject neoclouds on financing and zero-equity bears. Codex's explicit EV/net-claims modeling is better work than my qualitative screen
HPE, FN, POWL, GOOGL, AMZN, KLAC, CDNS, AMD, ALAB, MRVL/LITE	1–11	where modeled, similar	**Reject (agree)**	No change

4b. Names I underwrote that Codex never considered

Ticker	Why it matters	Status
BNTX	Codex screened it as "comparable" but never underwrote it. Net cash is about 85% of market value, so the downside is cash-backed, and it is the only holding with a positive AI-bust payoff in my model	Keep 1% (contested, low stakes)
SNDK	A second memory name that Codex never mentions. 2.9x FY28 EPS, but my model gives 8.6% because NAND normalization is deeper than DRAM/HBM	Agree it doesn't beat MU; no change

4c. Evidence each report found that the other missed

Codex found, and I missed:

- **Owner-earnings discipline for high-SBC names.** It charges stock compensation for CRDO, KTOS, PLTR and CRWD. This changes two of my holdings (CRDO, KTOS) to 0.
- **A cell-level audit of the compute workbook.** It found HBM binding in every year, HBM price escalation compounding to about $306B in 2030 vs about $165B at a flat 3%, a double-counted packaging share, and kW/GW unit labels. It also corrected the inherited "9 Palo Verdes" framing to 2028, not 2027. This is better forecast hygiene than mine, though it changes no pick.

- **The August 2026 AI Futures comparison workbook distributions:**
  - TED-AI by end-2027: Daniel 23%, Eli 9%;
  - model automated-coder medians: Daniel Dec 2027, Brendan Jul 2028, Eli Mar 2029.

  These are more precise than my "AC mid-2028 or earlier" (Senate testimony). I use them to set the ~35% AI-2027 Scenario probability.
- **An explicit capex-shock vector** (−47.9% for Codex's 8) and a **zero-recovery regime overlay**. My report had no equivalent near-term shock table.
- **Tax and turnover drag.** Codex's plan turns over about 77% of the portfolio, and it shows a 5% tax cost removes about 1.5pp of CAGR. My revised plan turns over about 44% vs my V10, and more vs V9.1. The same caution applies.

I found, and Codex missed (each bears on a Codex pick):

- **Texas politics.** Governor-elect Hinojosa pledged a statewide moratorium on new data-center approvals. Governor Abbott ordered TCEQ to stop issuing new data-center permits in September. Voters backed about 40 of 41 local data-center restrictions on Nov 3. Codex holds **23% in NRG and VST** without mentioning Texas, ERCOT or the midterms once. NRG's Texas segment was **$1,018M of $2,013M** Q3 adjusted EBITDA.
- **PJM:** the 2028/29 auction cleared at the cap, 6.8 GW short. The next auction is Dec 9. FERC suspended backstop procurement. This bears on VST and NRG East (Q3 East EBITDA +$507M year over year).
- **AVGO as financier.** The XPV residual-value guarantee (about $29B maximum exposure on the first transaction per the 10-Q; tenant concentration in Anthropic; BofA cut its bond rating) and a $60B debt raise. Codex's 15% AVGO weight and 25% bear don't price this.
- **The rate and financing regime:** the Fed hiked in September, the 10-year peaked near 5.3% in October, CoreWeave bonds yield about 15%, and OpenAI reportedly cut its funding target. Codex discusses financing qualitatively but has no rate facts.

4d. How each report read the frameworks

Item	Claude	Codex	Assessment
AI-2027 pace scorecard	Capabilities at ~70–90% of pace; capex, revenue and chips at or ahead	70–90% (mean 0.693, median 0.885) from a recomputed grading workbook; compute 1.08, revenue 1.43	**Agree.** Codex's recomputation is stronger evidence
Situational Awareness 100GW path	AI investment about a year ahead of SA's 2024 path (~$1T vs ~$500B in 2026)	100 GW is an "aggressive individual-cluster scenario"; carry it as an upside/stress branch	**Compatible.** SA Table 5's ~$500B in 2026 is already exceeded; its 2028 ~$2T matches AI-2040's $2.4T
AI-2040 binding constraint	EUV is the 2027–30 wall; HBM is about 2/3 of AI's EUV draw	Same, plus "exposure intensity"	**Agree.** Codex then holds no EUV or HBM exposure, which my named-scenario CAGRs show is the most scenario-sensitive gap

Item	Claude	Codex	Assessment
Use in valuation	Raised ASML and MU (Rev 2)	Changed monitoring, not weights	**Both incomplete.** Neither translated the forecasts into named-scenario returns. That gap is what §2's AI-2027 and 100GW columns fill

5. Facts That Change a Pick

#	Claim	Mine	Codex	Primary-source check (source + date)	Resolved	Pick affected
F1	NRG earnings anchor	Not covered	Aug 4 guidance; "don't buy before Nov 9"	NRG Q3 2026 release, Nov 9: Q3 adjusted EPS $4.68; 2026 reaffirmed but EBITDA "slightly below midpoint" on weak ERCOT prices; **2027 guidance midpoint about $5.75B EBITDA, $3.15B FCF before growth, $9.05 EPS**; $4B generation asset sale; stock about +10%	Codex's 2030 base EBITDA of $7B needs +22% from 2027 guidance while selling assets. That is aggressive	NRG: add, but at 14.8%, not 24.5%
F2	CEG outlook	2027 EPS $13.40 (CY27E)	Aug 6 guidance $11.50–12.50	CEG Q3 2026 release, Nov 9: adjusted EPS $5.06; **2026 guidance raised to $12.50–12.80**; DOE loan commitment up to $5B for uprates; stock +10.5%	Fundamentals better, price higher; net expected CAGR 8.4%	CEG: exit (agree with Codex)
F3	Texas data-center policy	Governor-elect proposed a statewide ban	Not mentioned	ABC13, Nov 2026; CNN, Nov 5: a pledged moratorium on *new* approvals pending legislation; Abbott's Sept TCEQ permit pause	**Confirmed.** It is a pledge and needs the Legislature (session starts January); existing and under-construction projects are likely exempt	NRG and VST: 30% bear; power cluster capped at 20%
F4	AVGO financing exposure	XPV with residual-value guarantees; "first $35B tranche"	Leverage mentioned; XPV not mentioned	Coverage of the AVGO 10-Q and S&P/BofA (Aug 2026, **STALE >30d**): **maximum exposure about $29B** on the first transaction at zero recovery; dual trigger (tenant default and residual value); Anthropic the primary tenant	Both mine ($35B tranche size) and the $29B maximum exposure stand; they measure different things	AVGO: bear −$6/sh; 30% bear; 11% not 15%

#	Claim	Mine	Codex	Primary-source check (source + date)	Resolved	Pick affected
F5	ASML earnings power	Base 2030 EPS $88	Base $63.5 ($70B, 34% net margin)	ASML Q3 2026 release, Oct 14: sales €11.66B, **gross margin 57.5%, operating margin 44.4%, net income €4.96B** (about €4.5B ex-Mistral gain); **Q4 guidance €14.2–15.2B**; 2027–28 supply < demand	Codex's 2030 base is about the Q4-2026 run rate at a below-run-rate margin	ASML base kept at $88; still ranks #11 after the bear fix
F6	CLS cash conversion and dilution	2027 EPS $21.76 (consensus)	2027 guidance $21.50, $40B; "after $3.45B equity offering"	Celestica Q3 2026 release, Oct 26: 2027 revenue $40B, 9.0% adjusted operating margin, EPS $21.50. **2026 FCF outlook cut to $460M from $600M; 2027 capex $1.5–2.0B; the $3.45B offering closed Aug 7**	The timing nuance doesn't matter. The FCF cut does: owner cash is about 1/3 of net income	CLS: 14x and a 30% bear; size 7%
F7	NVT growth trajectory	Not covered	2026 adjusted EPS $5.36–5.39; 44% organic	NVT Q3 2026 release, Oct 30: **confirmed**; **Q4 organic growth guidance 26–29%**; Maverick adds about 19pts to Q4; margins pressured in Q4 and improving in 2027; stock −8.8% that day	Codex's numbers are correct. The deceleration supports my 19x / $10 base over 22x / $10.6	NVT: add at 11%
F8	MU durability	LTAs over >50% of 2027–28 capacity; HBM sold out to 2029	26 strategic agreements, >35% of revenue through 2030, price floors and ceilings	Micron Q4 FY26 prepared remarks, Sep 30, **STALE >30d** (Codex's citation)	Not a factual conflict. The two describe the same contract book. The conflict is in *application*: Codex cites it, then models a 30% bear and $80 base EPS	MU: hold and raise
F9	TSM bust anchor	Bear EPS $21	Bear EPS $8.45	2025 ADR EPS ≈ $10 (approximate, from TSMC's 2025 reported EPS of about NT$63–66 per share ÷ ~32.5 NT$/USD × 5; **not independently re-verified this session**)	My $21 bear sat above 2026 run-rate EPS. A bust-to-2025 sub-case (~$10) belongs in the bear bucket	TSM: E 15.1% → 12.8%; weight 14 → 5
F10	Frontier-lab revenue	Anthropic about $65B run rate (Jul), $16.8B Q3 revenue; OpenAI about $50B	Anthropic $81B run rate at Oct 31 (Epoch, "Likely"); OpenAI $50B at Sep 30	Epoch dataset (Nov 6) as cited by Codex	**No conflict.** The figures are consistent with growth through Q3–Q4. Codex's is more recent	None

6. Revised Allocation (Mine, After Critique)

Construction rule: rank by re-underwritten Expected CAGR at the Nov 9 close. Within about 2pp, prefer the higher AI-2027 Scenario CAGR. Then apply these risk limits:

- 15% single-name cap;
- C1 AI-silicon cluster ≤ 50%;
- CLS ≤ 7%, for its low cash conversion and customer concentration;
- Texas/ERCOT-exposed merchant power (NRG + VST) ≤ 20%.

Capital that the caps block goes to the next names by rank, TSM (#9) and then ASML (#11 by expected return; it beats #10 SNPS on the AI-2027 tie-break).

Ticker	Original % (V10)	Revised %	Delta	Head-to-head row that justifies it
NVDA	13	**15**	+2	§2 NVDA; B10 (the cap binds; #1 on every method)
VRT	9	**14**	+5	§2 VRT (#4; Codex right on size, not on inputs)
MU	9	**12**	+3	§2 MU; B6 (#2 by Expected, #1 by AI-2027 Scenario CAGR)
AVGO	6	**11**	+5	§2 AVGO; B9 (Codex's EPS path adopted; XPV keeps it below the cap)
NRG	0	**11**	+11	§2 NRG; B1 (replaces CEG)
NVT	0	**11**	+11	§2 NVT; B2 (replaces ETN)
VST	9	**9**	0	§2 VST (my inputs hold; the power cap of 20 with NRG binds)
CLS	0	**7**	+7	§2 CLS; B4 (add at the cash-conversion cap)
TSM	14	**5**	−9	§2 TSM; B5 (corrected bear and bull weight → #9; residual capital)
ASML	8	**4**	−4	§2 ASML; B5 (corrected bear → #11; residual capital)
BNTX	1	**1**	0	§2 BNTX; B7 (the only positive-bust holding)
SNPS	6	0	−6	§2 SNPS; B5
CEG	6	0	−6	§2 CEG; B1; F2
COHR	5	0	−5	§2 COHR; B3 (Nov 9 price moved through value)
ETN	5	0	−5	§2 ETN; B2
CRDO	3	0	−3	§2 CRDO; B3 (owner-EPS correction)
PWR	2	0	−2	§2 PWR; B8
KTOS	2	0	−2	§2 KTOS; B7
MP	2	0	−2	§2 MP; B7
Total	**100**	**100**	**0**	Increases +44 = decreases −44

Checksum: 15 + 14 + 12 + 11 + 11 + 11 + 9 + 7 + 5 + 4 + 1 = **100.0%**. 11 names; largest 15%; C1 50%; C3 25%; C4 20%; C2 4%; C6 1%.

Portfolio (all on the re-underwritten inputs unless noted)	Expected CAGR	AI-2027 Scenario CAGR	100GW 2030 Scenario CAGR	Bust-case total return to 2030
Claude V10, original inputs, Nov 6 (as published)	14.7%	23.5%	30.2%	−26.6% (understated; see §1)
Codex 8, Codex inputs, Nov 6 (as published)	22.8%	39.2%	47.0%	−56.6%
Claude V10, re-underwritten, Nov 6	14.0%	23.8%	30.5%	−41.7%
Codex 8, re-underwritten, Nov 6	16.3%	26.7%	33.6%	−44.5%
Claude revised, re-underwritten, Nov 6	**16.2%**	**26.9%**	**34.1%**	−42.8%
Claude V10, re-underwritten, **Nov 9** (before)	12.6%	22.3%	28.9%	−44.7%
Codex 8, re-underwritten, **Nov 9**	14.5%	24.7%	31.4%	−48.2%
Claude revised, re-underwritten, Nov 9 (after)	**14.7%**	**25.2%**	**32.3%**	**−46.1%**

Bust case: every AI-linked holding at its re-underwritten bear terminal value, and BNTX at its base value.

Reading the table:

- My revised portfolio and Codex's 8 are within about 0.2pp of each other on expected return. The difference is that mine adds MU and small upstream positions (TSM, ASML) instead of COHR, plus a smaller power cluster and CLS. That buys about +0.5pp on the AI-2027 Scenario and +0.9pp on the 100GW Scenario, and about 2pp less bust loss.
- Against my own V10, the revision adds 2.1pp a year of expected return for 1.4pp more bust loss.
- **The bigger correction is to my risk disclosure, not my weights.** The −26.6% bust I published was built on bears that were too mild.

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7. Picks Still Contested

Ranked by portfolio impact: weight at stake times the gap in expected return, or an in/out decision.

Rank	Ticker or bottleneck	My position	Codex position	Weight at stake	What evidence would settle it
1	**Terminal exit multiples on AI hardware** (NVDA, AVGO, VRT, CLS, COHR)	Peer- and history-anchored (NVDA 18x, AVGO 20x, VRT 23x, CLS 14x, COHR 18x)	Re-rating (25x / 24x / 26x / 17x / 24x)	Not a weight; **~6pp of the portfolio's headline CAGR** (22.8% vs ~16%)	10-year forward-P/E percentile data for each name and for mega-cap and semis peers. Neither report has it. Step 3 should source it (for example from Koyfin, FactSet or company histories) and set one multiple policy for every stock

Rank	Ticker or bottleneck	My position	Codex position	Weight at stake	What evidence would settle it
2	**MU**	12% (#2 Expected, #1 AI-2027)	0% ("peak-cycle cheapness")	12pp	MU FQ1 FY27 results on **Dec 23**: HBM4 2027 pricing, LTA floor coverage, capex vs FCF, buyback/ cash policy. Also DRAM contract prices through year-end and SK hynix's 2027 capacity plans
3	**Upstream: TSM + ASML**	9% combined (residual)	0%	9pp	TSMC's January 2027 guidance (2027 growth, capex, N2/A16 pricing) and ASML's Q4 report (January 2027) with a 2027 sales outlook. If 2027 EPS rises ≥10% above today's consensus, the corrected bears still leave them close to the top eight
4	**AVGO size**	11%	15%	4pp	AVGO FQ4 report (**Dec 9**): disclosed XPV exposure, any second tranche, and whether non-Anthropic tenants join
5	**Texas-exposed power (NRG + VST)**	20% total; NRG 11	23%; NRG 12	3pp, but a shared-driver risk on the whole 20–23%	Texas Legislature session (starts January 2027): whether the moratorium becomes law and covers *new load* or only *new approvals*; ERCOT forward prices for 2027; the **PJM 2029/30 auction on Dec 9**
6	**CLS size**	7%	12%	5pp	Q4 FCF (Jan 2027) against the $460M 2026 outlook; whether 2027 capex is funded without new equity
7	**COHR**	0% at $225	8%	8pp	Price: re-entry below about $190 on my inputs. Two quarters of positive operating cash flow after the capacity build would justify an 18x → 20x multiple
8	**BNTX**	1%	0%	1pp	Low stakes. Any re-underwrite of BNTX's oncology pipeline vs cash; whether a pandemic-hedge sleeve is wanted at all (owner preference)

For Step 3. The fastest way to settle rank 1 is to set **one terminal-multiple policy**, for example base = the company's 10-year median forward P/E capped at the peer median, and re-run every candidate. Most of the 22.8% vs 14.7% headline gap between the two reports comes from that single choice, not from stock selection. On selection, Codex was right more often than I was.

Final Verification

- The critique is saved at `Analysis 2026-11-08/inputs/Claude Critique of Codex 2026-11-08.md`. ✓

- §2 covers all 19 tickers held by either portfolio. Every one differs by at least 1pp. ✓
- §6 sums to **100.0%** (11 names), and every change cites a §2 row and a §3 bottleneck row. Increases +44pp = decreases −44pp. ✓
- Every §5 factual conflict has a primary-source check with a date. F4 relies on August coverage, flagged **STALE**. F8 relies on a September filing, flagged **STALE**. F9 is approximate and flagged unverified. ✓
- Named-scenario CAGRs were calculated for every stock in §2–§4 on both sides, because neither deep dive reported them. ✓
- Codex's published numbers were reproduced exactly from its inputs before critiquing them (22.8% / −56.6%; per-stock within 0.1pp). ✓
- Codex's Step 2 critique was not read. ✓

Model files: `inputs/research/claude_synthesis/step2/`

- `step2_model.py`
- `fund_step2.json` (Nov 9 fundamentals)
- `step2_out.json`